Master Test - 03

CA Inter Udesh Regular Sep 2026

28/05/2026

Master Test – 3

ANSWER KEY (MCQ)

1. **(B)**	**6.** **(C)**
2. **(C)**	**7.** **(D)**
3. **(B)**	**8.** **(B)**
4. **(D)**	
5. **(B)**	

Hints & Solution (Objective)

1. **(B)**

Reason:

The fifth proviso to section 139(1) provides that as on the date of appointment no audit firm having a common partner or partners to the other audit firm, whose tenure has expired in a company immediately preceding the financial year, shall be appointed as auditor of the same company for a period of five years.

In the given case, D Arora and M Arora are Associates of in Arora & Associates and not the partners, hence it is valid.

2. **(C)**

Reason:

In terms of the fifth proviso to section 139(1) as on the date of appointment no audit firm having a common partner or partners to the other audit firm, whose tenure has expired in a company immediately preceding the financial year, shall be appointed as auditor of the same company for a period of five years.

3. **(B)**

Reason:

Section 139(8)(i) provides that any casual vacancy in the office of an auditor shall in the case of a company other than a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor-General of India, be filled by the Board of Directors within thirty days, but if such casual vacancy is as a result of the resignation of an auditor, such appointment shall also be approved by the company at a general meeting convened within three months of the recommendation.

4. **(D)**

Correct Option: D

Reason:

As per section 379 read with section 380 of the Companies Act, 2013, a foreign company having a place of business in India is governed by the provisions of Chapter XXII, along with such other provisions of the Act as may be prescribed, in the manner as if it were an Indian company. Hence, the legal team was incorrect in stating that only Chapter XXII applies. Other applicable provisions also extend to the foreign company in respect of its Indian business operations.

5. **(B)**

Correct Option: B

Reason:

In accordance with section 382 of the Companies Act, 2013, a foreign company must exhibit its name and country of incorporation outside every office or place of business in India in English and in the local language. There is no requirement to mention the name in Mandarin. Further, business letters, billheads and letter papers are required to contain such particulars in English only. Therefore, the compliance made by the company is correct.

6. **(C)**

Correct Option: C

Reason:

Under sections 26 and 28 of the Companies Act, 2013, a prospectus issued for IDRs must disclose material contracts other than those entered in the ordinary course of business, and where the prospectus is signed by an authorized person, a copy of the power of attorney must be annexed. Since the contract with Speed Robotics Ltd. is entered in the ordinary course of business, its disclosure is not mandatory, but absence of the power of attorney renders the prospectus defective and liable to rejection by the Registrar.

7. **(D)**

Correct Option: D

Both Mr. Sebastian (a Non-Resident Indian – NRI) and Mrs. Ruby (a Resident Indian) can sell their respective properties without RBI approval. Under FEMA, an NRI can freely sell immovable property situated outside India (Sebastian's Chicago land) without restrictions. A resident can sell residential property in India to another resident or NRI (with certain conditions) but here Mrs. Ruby (resident) selling to a buyer in India is generally permitted under the Foreign Exchange Management (Acquisition and Transfer of Immovable Property in India) Regulations. No prior RBI approval is required for these transactions as they do not involve repatriation of funds abroad in Mrs. Ruby's case (sale proceeds in India) and Sebastian's foreign asset is outside RBI's territorial purview.

8. **(B)**

Correct Option: B

Mr. John (a non-resident) can invest USD 150,000 in Bio-Seeds Ltd. under the automatic route of Foreign Direct Investment (FDI) in an Indian company engaged in plantation of medicinal plants, subject to sectoral conditions. However, Mr. Christopher's Indian company cannot donate for a chair abroad (which is a form of outward remittance for a donation) under the Liberalised Remittance Scheme (LRS) because donations exceeding prescribed limits or for specific endowments like a chair in a foreign institution require prior RBI approval. Donations for such purposes are not freely permissible under LRS.

Hints & Solution (Subjective)

1(a). (H & S)

As per section 139(2) of the Companies Act, 2013, listed companies and such class of companies as prescribed, shall not appoint or re-appoint an audit firm as auditor for more than two terms of five consecutive years. **(1 Mark)**

Further, on the date of appointment, an audit firm shall not have any partner or partners who are/were also the partner/s to the other audit firm, whose tenure has been expired in a company immediately preceding the financial year. **(1 Mark)**

Bright Future Ltd. cannot appoint M/s Mehta & Associates as its auditor immediately after the completion M/s Sharma & Associates' tenure. **(1 Mark)**

Since Mr. Raj is a common partner in both firms, regulatory provisions impose a cooling-off period of 5 years before either of these firms can be reappointed. **(1 Mark)**

Therefore, Bright Future Ltd. can appoint M/s Mehta & Associates or M/s Sharma & Associates only after the cooling-off period ends in the year 2032. **(1 Mark)**

1(b). (H & S)

Under section 380(1) of the Companies Act, 2013 every foreign company shall, within 30 days of the establishment of place of business in India, deliver to the Registrar for registration the following documents: **(1 Mark for each point max 5 Marks)**

(a) a certified copy of the charter, statutes or memorandum and articles, of the company or other instrument constituting or defining the constitution of the company. If the instruments are not in the English language, a certified translation thereof in the English language;

(b) the full address of the registered or principal office of the company;

(c) a list of the directors and secretary of the company containing such particulars as prescribed under the Companies (Registration of Foreign Companies) Rules,2014,

  (1) personal name and surname in full;

  (2) any former name or names and surname or surnames in full;

  (3) father's name or mother's name and spouse's name;

  (4) date of birth;

  (5) residential address;

  (6) nationality;

  (7) if the present nationality is not the nationality of origin, his nationality of origin;

  (8) passport Number, date of issue and country of issue; (if a person holds more than one passport then details of all passports to be given)

  (9) income-tax permanent account number (PAN), if applicable;

  (10) occupation, if any;

  (11) whether directorship in any other Indian company, (Director Identification Number(DIN), Name and Corporate Identity Number (CIN) of the company in case of holding directorship);

  (12) other directorship or directorships held by him;

  (13) Membership Number (for Secretary only); and

  (14) e-mail ID.

(d) the name and address or the names and addresses of one or more persons resident in India authorised to accept on behalf of the company service of process and any notices or other documents required to be served on the company;

(e) the full address of the office of the company in India which is deemed to be its principal place of business in India;

(f) particulars of opening and closing of a place of business in India on earlier occasion or occasions;

(g) declaration that none of the directors of the company or the authorised representative in India has ever been convicted or debarred from formation of companies and management in India or abroad; and

(h) any other information as may be prescribed.

According to the Companies (Registration of Foreign Companies) Rules, 2014, any document which any foreign company is required to deliver to the Registrar shall be delivered to the Registrar having jurisdiction over New Delhi.

1(c). (H & S)

Law: As per section 9 of the General Clauses Act, 1897, for computation of time, the section states that in any legislation or regulation, it shall be sufficient, for the purpose of excluding the first in a series of days or any other period of time to use the word "from" and for the purpose of including the last in a series of days or any other period of time, to use the word "to". **(1 Mark)**

Conclusion: (i) Payment of dividend: In the given instance, Komal Ltd. declares dividend for its shareholder in its Annual General Meeting held on 27/09/2025. Under the provisions of Section 127 of the Companies Act, 2013, a company is required to pay declared dividend within 30 days from the date of declaration, i.e. from 28/09/2025 to 27/10/2025. In this series of 30 days, 27/09/2025 will be excluded and last 30thday, i.e. 27/10/2025 will be included. Accordingly, Komal Ltd. will be required to pay dividend within 28/09/2025 and 27/10/2025 (both days inclusive). **(2 Marks)**

(ii) Transfer of unpaid or unclaimed divided: As per the provisions of Section 124 of the Companies Act, 2013, where a dividend has been declared by a company but has not been paid or claimed within 30 days from the date of the declaration, to any shareholder entitled to the payment of the dividend, the company shall, within 7 days from the date of expiry of the said period of 30 days, transfer the total amount of dividend which remains unpaid or unclaimed to a special account to be opened by the company in that behalf in any scheduled bank to be called the "Unpaid Dividend Account" (UDA). Therefore, Komal Ltd. shall transfer the unpaid/unclaimed dividend to UDA within the period of 28th October, 2025 to 3rd November, 2025 (both days inclusive). **(2 Marks)**

2(a). (H & S)

Difference Between Rule of Beneficial Construction and Rule of Exceptional Construction.

The Rule of Beneficial Construction helps in expanding the scope of beneficial legislation to favour the protected class, whereas the Rule of Exceptional Construction ensures that exceptions or deviations from the general law are not unduly extended beyond what the statute clearly provides. **(1 Mark for each point max 5 Marks)**

Aspect	Rule of Beneficial Construction	Rule of Exceptional Construction
Meaning	Also known as the liberal or purposive rule, it is used to interpret statutes in a way that benefits the class for whom the statute is enacted.	This rule is applied when a provision is out of the ordinary and is treated as an exception to the general law.
Purpose	To promote the object and purpose of welfare or remedial legislation by interpreting it liberally in favour of the beneficiaries.	To restrict or narrowly interpret provisions that create exceptions to general legal principles.
Nature	Liberal and inclusive interpretation.	Strict and narrow interpretation.
Application	Commonly applied in social welfare, labour tax relief, or protective statutes.	Applied to provisos, exceptions, or penal provisions that deviate from the general rule.
Presumption	Presumes that the legislature intended to provide a benefit to a certain group.	Presumes that the exception must be limited to what is expressly stated.
Example	Interpreting labour laws (e.g., Minimum Wages Act) in a manner that favours the employee.	Interpreting a tax exemption provision strictly; any ambiguity favours taxation, not the exemption.

2(b). (H & S)

According to section 6 of the Limited Liability Partnership Act, 2008,

(i) Every LLP shall have at least two partners.

(ii) If at any time the number of partners of a LLP is reduced below two and the LLP carries on business for more than six months while the number is so reduced, the person, who is the only partner of the LLP during the time that it so carries on business after those six months and has the knowledge of the fact that it is carrying on business with him alone, shall be liable personally for the obligations of the LLP incurred during that period.

In the given situation, the alone partner should consider the above provisions of the Limited Liability Partnership Act, 2008, governing the LLP being operated by a single partner. **(3 Marks)**

As per section 64 of the Limited Liability Partnership Act, 2008, the circumstances in which LLP may be wound up by Tribunal are:

(a) d if the LLP decides that LLP be wound up by the tribunal;

(b) if, for a period of more than 6 months, the number of partners of the LLP is reduced below two;

(c) if the LLP has acted against the interests of the sovereignty and integrity of India, the security of the state or public order;

(d) if the LLP has made a default in filling with the Registrar the Statement of Account and Solvency or annual return for any 5 consecutive financial years; or

(e) if the Tribunal is of the opinion that it is just and equitable that the LLP be wound up. **(2 Marks)**

3(a). (H & S)

As per the Foreign Exchange Management (Current Account Transactions) Rules, 2000, certain (current account) remittances by persons other than individuals require prior approval of the Reserve Bank of India (RBI).

(1) As per the Rules, donations made by persons other than individuals require prior approval of the RBI where the amount exceeds:

One per cent of the foreign exchange earnings during the preceding three financial years, or USD 5,000,000, whichever is less. **(1 Mark)**

In the given case, Bhargava Ltd. has earned foreign exchange of USD 12,000,000 during the last three financial year. One per cent of USD 12,000,000 is USD 120,000. **(1 Mark)**

Accordingly, Bhargava Ltd. can donate up to USD 120,000 without obtaining prior approval of the RBI. Any donation in excess of USD 120,000 would require prior approval of the RBI. **(1 Mark)**

(2) As per the Rules, Remittances exceeding five per cent of investment brought into India or USD 100,000 whichever is higher, by an entity in India by way of reimbursement of pre-incorporation expenses, shall require prior approval of the Reserve Bank of India. **(1 Mark)**

In the given case, for remittances of 6% of investment (in amount) brought into India, exceeding the 5% threshold or USD 100,000 (whichever is higher) prior RBI approval is mandatory. **(1 Mark)**

Note : The answer to the question is on the presumption that the remittance is by way of reimbursement of pre-incorporation expenses. It further depends on relative value of 6% of investments vis-à-vis USD 100,000. Accordingly, the answer may vary depending on presumption whether 6% of investments exceeds USD 100,000 or otherwise.

3(b). (H & S)

Interpretation of statutes is applied in various circumstances where the meaning of the law is not clear or straightforward. Courts use interpretation to ascertain and give effect to the true intention of the legislature.

The main situations where statutory interpretation is applied include: **(1 Mark for each point max 5 Marks)**

1. Ambiguity in Language: When the words or phrases used in a statute are ambiguous or capable of multiple interpretations, legal interpretation becomes necessary to determine their correct meaning.

2. Vagueness or Obscurity: If the language of the statute is vague or obscure, making it difficult to understand, courts interpret it to remove uncertainty.
3. Conflict Within the Statute: When different provisions of the same statute appear to conflict or contradict each other, interpretation helps resolve the inconsistency.
4. Silence or Omission: If the statute is silent on a specific issue or does not cover a particular situation, courts interpret to fill the gap.
5. Changing Social and Economic Conditions: Statutes may have been drafted long ago and may not explicitly address modern circumstances. Interpretation helps apply old laws to new contexts.
6. Technical or Unfamiliar Language: Interpretation is necessary when the statute uses technical terms or legal jargon unfamiliar to laypersons.
7. Effect of External Events or Agreements: Sometimes, interpretation involves considering external factors like treaties or previous laws.

4(a). (H & S)

According to section 25 of the Limited Liability Partnership Act, 2008,

1. Every partner shall inform the LLP of any change in his name or address within a period of 15 days of such change. **(1 Mark)**
2. A LLP shall—
   - where a person becomes or ceases to be a partner, file a notice with the Registrar within 30 days from the date he becomes or ceases to be a partner; and
   - where there is any change in the name or address of a partner, file a notice with the Registrar within 30 days of such change. **(1 Mark)**
3. A notice filed with the Registrar under sub-section (2)—
   - shall be in such form and accompanied by such fees as may be prescribed;
   - shall be signed by the designated partner of the LLP and authenticated in a manner as may be prescribed; and
   - if it relates to an incoming partner, shall contain a statement by such partner that he consents to becoming a partner, signed by him and authenticated in the manner as may be prescribed. **(1 Mark)**

(i) Priya's Address Change: Under the provision, Priya was required to inform XYZ LLP of her address change within 15 days of the move. Following that, XYZ LLP was required to file a notice with the RoC within 30 days of being notified of Priya's new As Priya did not inform the LLP about change of address and consequently LLP did not file a notice regarding the change in address of Priya with the Registrar, XYZ LLP is not in compliance with the required timeline. **(1 Mark)**

(ii) Ramesh's Admission as a Partner: For new partners, XYZ LLP must file a notice with the RoC within 30 days of a person becoming a partner. This notice should include Ramesh's consent statement, signed by him and authenticated as the delay in filing means XYZ LLP did not meet the 30-day requirement. **(1 Mark)**

4(b). (H & S)

(i) As per Schedule III to the Foreign Exchange Management (Current Account Transactions) Rules, 2000, the following remittances by persons other than individuals shall require prior approval of the Reserve Bank of Commission per transaction to agents abroad for sale of residential flats or commercial plots in India exceeding USD 25,000 or five percent of the inward remittance whichever is more. **(1 Mark)**

If any remittance is made for the transactions listed in Schedule II and Schedule III from Exchange Earners' Foreign Currency (EEFC) account, then also no approval is required. However, in case of the above-mentioned commission if exceeding the prescribed limits, approval is required even if payment is from EEFC account. **(1 Mark)**

The maximum amount that can be paid without RBI approval is USD 47,500 (5% of USD 9,50,000) or USD 25,000 whichever is higher.

Since, the amount of commission is USD 50,000, which is more than the limit of USD 47,500, approval is required. **(1 Mark)**

(ii) Under the Liberalised Remittance Scheme (LRS), all resident individuals, including minors, are allowed to freely remit up to USD 250,000 per financial year (April–March) for any permissible current or capital account transaction or a combination of both.

Clubbing is not permitted by other family members for capital account transactions such as opening a bank account/investment/ purchase of property, if they are not the co-owners/co-partners of the overseas bank account/investment/property. **(1 Mark)**

In the given question, since, Mr. Bob, his wife, major son and his father are holding equal shares in the property, clubbing is permitted and thus, the family members can remit USD 1,000,000 (implies USD 250,000 per member) to Mexico in a single financial year without requiring any approval. **(1 Mark)**